



Can you explain the difference between leasing and EV finance in the commercial sector?

Traditional vehicle financing involves a large down payment and hypothecation to the lender, with the buyer becoming the vehicle's owner. With leasing, there are no upfront capital costs; the user pays a small security deposit and operates the EV for a fixed tenure of three to five years, after which the user has the option to own the vehicle, upgrade to a new vehicle, or return the vehicle. The key advantage of leasing is removing the upfront capital cost and lower monthly cash outflows and overall lower total cost of ownership. This is crucial for electric vehicles due to the recurring capex cost associated with battery pack replacement, which occurs every few years. Monthly lease payments cover vehicle costs, insurance, taxes, servicing, maintenance, roadside assistance, and battery replacement costs.

What measures are in place if a driver leasing vehicles is unable to continue payments, and how does this impact the asset's value?

We start with rigorous credit due diligence on the vehicle. The larger credit risk we are taking is on the asset. We work with selective OEM partners that have reliable battery technology that will last for the tenure of the lease and beyond. We have developed systems to continuously monitor fleet health and risks, including regular vehicle servicing and usage patterns. In the event of default, ALT repossesses the vehicle and refurbishes it through our service network and redeploys it with a new driver. A challenge with EV batteries is the potential deep discharge of the battery if the vehicle remains idle for an ex-

tended period, leading to significant degradation or making it unusable. Asset management is critical as the battery pack can represent half of the vehicle's cost.

To mitigate this, we take a hands-on approach with our assets. Our system includes alerts and trigger systems to proactively address potential issues, ensuring the vehicle's optimal condition. This includes routine maintenance and immediate response to any problems, which not only maintains the asset's health but also ensures higher uptime and efficiency for the driver. In case of repossession, our proactive maintenance approach means the vehicle can be quickly redeployed, preserving its value and minimising financial loss.

So, how does EV finance differ from traditional ICE (internal combustion engine) vehicle finance?

The shift to EVs necessitates an evolution in how banks and financial institutions approach vehicle financing. In traditional ICE finance, the focus is primarily on loan repayment, with less concern about the vehicle's condition during the loan period. However, with EVs, the situation is different. The high cost of the battery, often 40-50% of the vehicle's value, and the lack of a developed secondary market for EVs pose unique challenges. This uncertainty has made many conventional financiers hesitant. In case of defaults with EVs, the vehicle can quickly become obsolete if not properly maintained, leading to a total write-off. This risk highlights the need for a more data-driven approach in EV finance.

Does that mean that data generated by an EV is a primary requirement?

The data we focus on at ALT Mobility is primarily related to

the vehicle's battery pack. Each vehicle is equipped with an IoT device, integrated by the OEM, that's connected to the battery management system. This device transmits critical data such as location, speed, and various battery parameters like current, voltage, and temperature. This kind of detailed data is not available from traditional engines, but it's crucial for understanding the health of an EV's battery pack. This not only improves asset uptime for fleet operators but also reduces financing risks.

How does the EV fleet model fit into the traditional logistics industry as the same has not moved towards EVs?

This sector is diverse, ranging from small fleet operators to long-established logistic companies. The main challenge for these traditional logistics players in adopting EVs is the need for vehicles that reliably match the payload capacity and range requirements at the right price. The market needs larger electric vehicles, particularly four-wheelers, capable of handling significant payloads and distances, even for intra-city operations. Today, an electric three-wheeler can do the job of an ICE cargo LCV with the same payload and range at a lower capex and operating cost. The logistics industry is realising this and is on its way to switch to electric.

Are electric three-wheelers also getting adopted?

In the three-wheeler segment, adoption is quicker due to a lower capex and operating costs. However, for larger four-wheelers, the cost is higher due to the need for bigger battery packs to move heavier vehicles. We are seeing more products in this segment and